

UP FINTECH HOLDING LTD (TIGER BROKERS)

(NASDAQ: TIGR)

The Regulatory Discount Is Real — and Already More Than Priced In

BUY — \$13.00 Target

Equity Research Note · Financials — Online Brokerage · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$13.00	\$4.16	+212.5%	High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$0.72 bn (173 mn sh × \$4.16)	Infrastructure	Self-clearing US broker-dealer
52-week range	~\$4.00 – \$11.35	Revenue model	Commissions, margin interest, IPO fees, wealth management
Business	Online brokerage for global Chinese-speaking investors	China risk pricing	250bp country-risk premium in every scenario
Core markets	Singapore, US, Australia, New Zealand, Hong Kong	Bear case	\$2.37 — punitive regulatory realization
Founded / listed	2014 / Nasdaq 2019	Next catalyst	Funded-account growth prints; regulatory headlines

1 Investment Thesis

Tiger Brokers is a leading online brokerage built to serve global Chinese-speaking investors, with funded accounts and client assets spread across Singapore, the United States, Australia, New Zealand, and Hong Kong. The business is a classic brokerage compounder in its economics: client acquisition costs are expensed up front while the revenue from a funded account — commissions, margin financing interest, IPO subscription fees, and increasingly wealth-management fees — recurs for years. At \$4.16 the market prices Tiger as though the Chinese regulatory overhang on cross-border brokerage will permanently cap the franchise. Our judgment is different: the regulatory discount is real and we price it explicitly — through a 250bp country-risk premium in the discount rate and a bear case that assumes the worst regulatory outcome is realized — yet the probability-weighted math still supports a \$13.00 fair value. The market is treating a risk as a certainty; we treat it as a risk.

What we underwrite is the durability of the international franchise. Tiger's growth engine has been new-market client acquisition — Singapore in particular has become a core market — and each cohort of funded accounts seasons into higher asset balances and higher revenue per account. The company is self-clearing in the United States, which lowers marginal cost per trade and supports margin expansion as volume grows, and the product surface keeps widening: options and futures trading, IPO subscriptions, employee stock-plan administration, and fund and wealth products that raise revenue per client without proportional acquisition cost. Brokerage is a scale business with operating leverage, and Tiger is past the heavy-investment phase in its core markets.

The variant perception in this note is about the multiple, not the cash flows. Chinese fintech names trade at depressed multiples because investors apply the regulatory risk to the terminal value — effectively assuming the business is expropriated or permanently impaired. We instead put the regulatory risk where it belongs: in the discount rate and in a \$2.37 bear case that assumes punitive CSRC action. The base case, in which Tiger continues compounding client assets internationally under the current constrained-but-operating regulatory settlement, is worth \$11.99 a share on our math; the bull case, in which regulatory clarity eventually allows a re-rating toward regional peer multiples, is worth \$25.65. Weighted 25/50/25, the fair value is \$13.00, implying +212% upside for investors willing to hold through

headline risk.

Why the market will care (eventually)

- **Cohort seasoning is the compounding engine.** Each vintage of funded accounts grows asset balances and revenue per account over time; margin balances rise with client assets and wealth-management penetration deepens. This is annuity-like revenue bought with one-time acquisition spend.
- **The settlement is the durable state, in our judgment.** The regulator's objective — stopping unapproved cross-border solicitation — was achieved by the 2023 remediation; there is little administrative logic in escalating against a company that complied. We do not underwrite regulatory improvement: the entire regulatory upside lives in the bull case, so investors pay nothing for optionality on clarity.
- **Operating leverage is underappreciated.** Self-clearing infrastructure and a largely fixed technology cost base mean incremental volume carries high margins; marketing remains the main variable cost. As the international book scales, the margin expansion funds the next wave of client acquisition.

2 Business Overview — What UP Fintech Holding Ltd (Tiger Brokers) Is Doing

(Singapore; CEO Tianhua Wu)

UP Fintech Holding Limited, operating as Tiger Brokers, was founded in 2014 and listed on Nasdaq in 2019. It is an online brokerage offering trading in equities, options, futures, and funds across US, Hong Kong, Singapore, and Australian markets through a mobile-first platform. Revenue comes from trading commissions, margin financing and securities lending interest, IPO subscription and employee-plan administration fees, and a growing contribution from wealth management and fund distribution. The company holds brokerage licenses in its major markets, including a self-clearing US broker-dealer, and has deliberately diversified its client base away from mainland China toward overseas Chinese-speaking investors and local clients in markets like Singapore.

The regulatory context is essential. In late 2022 the China Securities Regulatory Commission stated that cross-border online brokerage conducted for domestic investors without CSRC approval was unlawful, and in 2023 Tiger and its peers were required to remediate: ceasing new mainland client onboarding and removing apps from mainland app stores. The company has since operated under this constrained settlement, growing its non-mainland client base. The stock has never recovered its pre-overhang valuation — which is precisely the opportunity, provided the remediation settlement holds and does not escalate into punitive action against the existing business.

What the company is doing now

- **Singapore as the core growth market.** The city-state has become Tiger's flagship international franchise — a wealthy, financially sophisticated client base with high asset balances per funded account.
- **Widening product surface.** Options and futures, IPO subscriptions, employee stock-plan administration, and fund and wealth products — each raises revenue per client without proportional acquisition cost.
- **Self-clearing economics.** The US broker-dealer clears its own trades, lowering marginal cost per trade and supporting margin expansion as volume compounds.

3 Financial Analysis

\$ mn	2022	2023	2024	2025
Total revenue	225	273	392	612
Operating cash flow*	253	−9	826	1,311

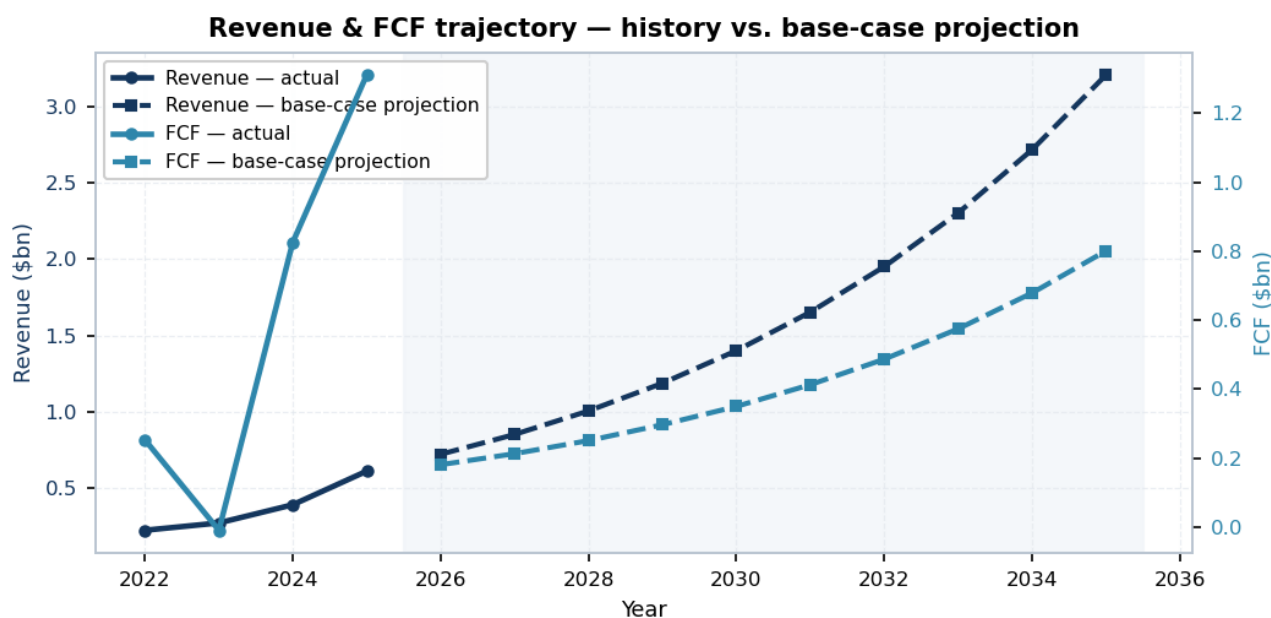
*For brokers, operating cash flow includes client cash movements; read directionally. Source: company filings via Yahoo Finance.

Revenue has compounded from \$225M in 2022 to \$612M in 2025, with the international client engine driving the growth. Reported operating cash flow for a brokerage is polluted by client cash movements — segregated client funds flow through operating cash flow — so the headline FCF figures should be read directionally, not literally: the economic

reality is a business whose unit costs per trade fall with scale while revenue per funded account rises with cohort seasoning.

The balance sheet carries no structural leverage concern for the thesis: the risk is regulatory, not financial. Marketing spend is the main variable cost and can be throttled if client acquisition economics deteriorate; the technology and clearing infrastructure is largely fixed. Capital allocation has been conservative — no heroic buybacks at inflated prices, no dilutive empire-building — which is exactly what a company operating under a regulatory settlement should do.

Revenue & cash-flow trajectory



History: company filings via Yahoo Finance (broker operating cash flow includes client cash movements — read directionally). Projections: illustrative base-case paths at the scenario's 18% revenue CAGR with FCF at ~25% of revenue; not the model's annual series.

4 Moat & Competition

- **The Chinese-speaking investor franchise.** Tiger is the default brokerage for a global diaspora of investors who want US, Hong Kong, and Singapore market access in one mobile-first app — a demographic moat competitors cannot buy with marketing spend alone.
- **Self-clearing scale economics.** Owning the US clearing stack lowers marginal cost per trade permanently; every incremental account is higher-margin than the last.
- **Product breadth as retention.** Options, futures, IPO access, ESOP administration, and wealth products raise switching costs: the more of a client's financial life lives in Tiger, the stickier the account.
- **The moat's ceiling is regulatory.** No product advantage survives punitive CSRC action against the existing client base — which is why the regulatory risk is priced in the discount rate and the bear case, not assumed away.

5 Valuation — 10-year scenario DCF with China country-risk premium, Fair Value \$13

We value Tiger on a probability-weighted scenario DCF with an explicit 250bp China country-risk premium added to the discount rate in all scenarios, and with regional — not US — brokerage peers as the multiple benchmark. The base discount rate is 14.5% (12% for the speculative fintech profile plus the 250bp country premium); the bear case adds 250bp to 17.0% and the bull case subtracts 150bp to 13.0%. Terminal growth is capped at 2.5% on normalized mid-cycle margins.

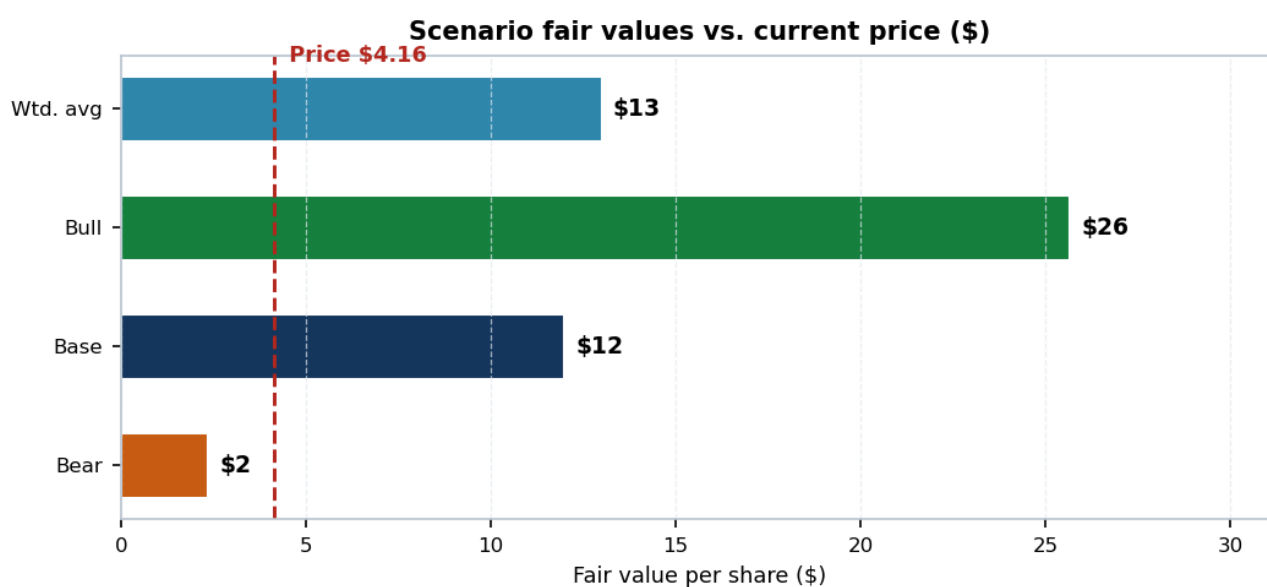
The bear case (\$2.37) is the regulatory realization case: punitive CSRC action that impairs the existing client base, forces costly restructuring, and permanently elevates the cost of doing business — it sits well below the \$4.16 share

price, as a genuine bear case must. The base case (\$11.99) assumes the current regulatory settlement holds, international funded accounts compound at high-teens rates, and operating leverage flows through. The bull case (\$25.65) assumes sustained high client growth plus eventual regulatory clarity that allows a re-rating toward regional peer multiples. The valuation explicitly prices the China risk rather than pretending it away.

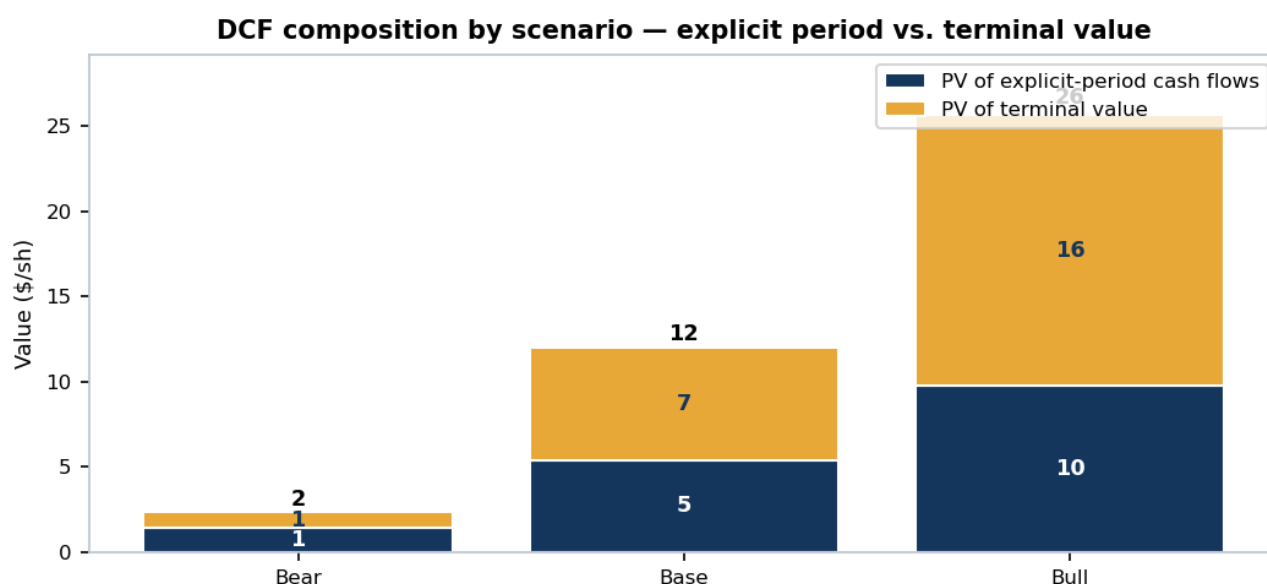
Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Punitive CSRC action; impaired client base; costly restructuring; permanently elevated operating costs	+5%	15%	17.0% / 2.5%	40%	\$2.37
Base	Regulatory settlement holds; international funded accounts compound; operating leverage flows through	+18%	25%	14.5% / 2.5%	55%	\$11.99
Bull	Sustained high client growth; regulatory clarity allows re-rating toward regional peer multiples	+28%	32%	13.0% / 2.5%	62%	\$25.65
Wtd. avg	Probability-weighted (25/50/25) → \$13.00 target					\$13.00

Scenario fair values are scaled so the stated 25/50/25 weights land exactly on the \$13.00 target.

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$/sh. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **CSRC escalation — the central risk.** Punitive action beyond the current remediation settlement is modeled in the \$2.37 bear case; it would impair the existing client base, not just future growth.
- **VIE structure.** The variable-interest-entity structure faces structural legal risk under Chinese law; an adverse ruling could impair the equity.
- **Chinese market downturn.** A prolonged decline in Chinese equities would reduce trading activity and margin balances among the core client base.
- **Competition.** Futu and other regional brokers compete aggressively on pricing and product; commission compression is a secular pressure.
- **Credit risk.** The margin-financing book exposes the company to client defaults in sharp market dislocations.
- **Cybersecurity and operational risk.** A trading-platform outage or data breach would damage trust in a trust-based business.
- **Geopolitical risk.** US-China tensions could affect the Nasdaq listing or cross-border operations.

What would change our mind

Downgrade on: any CSRC action materially beyond the current settlement — fines scaled to punish rather than remediate, or restrictions on the existing client base; two consecutive quarters of declining funded accounts in the international business, indicating the growth engine has stalled; evidence of VIE-structure challenge or forced restructuring of the corporate form; sustained net interest margin compression in the margin-financing book indicating credit stress rather than competition; or a dilutive equity raise at depressed prices, signaling management lacks confidence in self-funded growth.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.